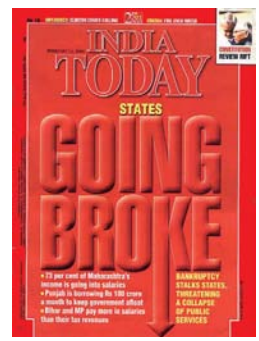
FROM THE

EDITOR-IN-CHIEF

On July 16, Prime Minister Narendra Modi delivered a few acerbic words while inaugurating the Bundelkhand expressway. "Those with *revdi* culture will never build new expressways, new airports or defence corridors for you," he said. "Together we must defeat this mentality and remove *revdi* culture from the politics of the country." He was referring to the freebies promised and delivered by politicians as part of the competitive populism that has become the norm in our democracy. Predictably, a slugfest followed between political parties, each accusing the other of profligacy.

In the following weeks, this evolved into a full-fledged—and furious—debate amongst the political class on what a "freebie" is and whether it can be distinguished from welfare. Even the Supreme Court has been dragged into the action, trying to settle the question of what could constitute "good freebies" and which ones are the bad ones. Its inclusion in the role of arbiter also created a controversy.

The problem was highlighted when the Reserve Bank of India in its June bulletin conducted a risk analysis of state finances in the backdrop of the Sri Lankan crisis with a close scrutiny of the indebted states. It found that the five most indebted states were, in descending order, Punjab, Rajasthan, Kerala, West Bengal and Bihar. Their debt had grown at a rate that far outpaced their GSDP in the past five years and was no longer sustainable. They are on the verge of financial collapse—and need to borrow more to survive, which would only aggravate the problem. The report also pointed out that at least half a dozen other states are headed in the same direction and face great peril unless corrective action is taken.



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The Centre is not in good shape either post the pandemic. It breached the targets set in the Fiscal Responsibility and Budget Management Act in the year when Covid-19 struck—its fiscal deficit soared to 9.3 per cent in FY21 before being tamed somewhat to a more tolerable 6.7 per cent in FY22. The figure before the pandemic was 4.6 per cent. Clearly, the situation is serious and needs urgent attention all round. No wonder the prime minister chose to issue a clarion call.

The classification of 'merit' and 'non-merit' freebies is not an easy task. Is free education and medical care for those who can't afford it to be seen as freebie or welfare? The classic example is the free midday meal scheme in schools started by K. Kamaraj in the 1960s and scaled up by MGR in the 1980s. It was originally seen as a freebie but it improved school attendance and made children healthier. A long-term benefit for the country. But how is the free distribution of smartphones and tablets, dhotis and sarees, colour TVs, mixer-grinders and washing machines to be regarded? Or the most bizarre of all, state funding of religious yatras? Not to forget the provision of free electricity and water to the farm sector in many states.

Economic experts say any subsidy that increases the productive capacity of the economy is a merit subsidy. The most serious consequence of consumption freebies is that it leaves less money for capital expenditure, which would spur economic growth. But in a poor democratic country like India, politicians face enormous pressure to promise handouts to win elections regardless of consequences in the future. In the end, in our system, the doling out of freebies—merit or non-merit—is a political choice.

Ultimately, the real issue is not which freebie is to be put in which box—good or bad. At the level of state finances, it is about fiscally sustainable budget management. At a more macro level, the whole practice of freebies and subsidies totally distorts the economy. It results in some sectors having to cross-subsidise others. So you give free electricity to farmers for political reasons but charge more from industry, making that segment less competitive. Similarly, rail passenger fares are kept low as a populist measure but freight charges are increased to offset the cost. In the end, someone must pay for the freebie. If you are doing it with debt, then you are committing the unforgivable sin of passing on the debt to the next generation. This, of course, cannot go on indefinitely as you will soon lose the trust of the lenders. We all know that in life there is no free lunch and chickens come home to roost sooner or later.

Our cover story this week, co-authored by Deputy Editors Shwweta Punj and Anilesh S. Mahajan, navigates all the twists and turns in the debate, and tries to come up with a reasonable yardstick to judge between plain freebies and welfare measures that produce some good. Since the conversations naturally include the states, our bureau has elicited views from a whole gallery of chief ministers—M.K. Stalin, Jaganmohan Reddy, Shivraj Singh Chouhan, Arvind Kejriwal, KCR and Ashok Gehlot—with strong points of view on the matter.

Economist Ajit Ranade offers us a succinct model to judge between good and bad spending. "There are three litmus tests on what it means to live in a developed country—when the most preferred school is a neighbourhood school, when you can drink water out of a tap, and when rich people use public transport," he says. Such a scenario implies the state is spending on public goods. But "when you start giving free electricity and TV sets, it's a freebie state". The fundamental reason why it propels states towards a crisis is, of course, the lack of fast enough growth. If that was there, even freebies could be afforded without getting into a debt trap.



(Aroon Purie)